

Mark Scheme (Results)

Predicted Paper (HARD)

Pearson Edexcel Level 3 Advanced GCE
in Economics B (9EB0)
Paper 01 Markets and how they work

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question Number		Mark
1 (a)	Knowledge/Understanding 1, Application 3 Knowledge/Understanding: 1 mark for formula $\text{Operating profit margin} = (\text{Operating profit} \div \text{Revenue}) \times 100$ (1) Application: Up to 3 marks for calculations $\text{Operating profit} = £248\text{m}$; $\text{Revenue} = £1,450\text{m}$ (1) $(248 \div 1,450) \times 100$ (1) $= 17.10\%$ (1) NB if no working is shown: 17.10% = 4 marks; 17.10 = 3 marks.	(4)

Question Number		Mark
1 (b)	Knowledge/Understanding 1, Application 3 Knowledge/Understanding: 1 mark for formula $((\text{Current price} - \text{Original price}) \div \text{Original price}) \times 100$ (1) Application: Up to 3 marks for calculations $\text{Difference} = 11.99 - 8.99 = 3.00$ (1) $3.00 \div 8.99$ (1) $= 33.37\%$ (1) NB if no working is shown: 33.37% = 4 marks; 33.37 = 3 marks.	(4)

Question Number		Mark
1 (c)	Knowledge/Understanding 2, Application 1, Analysis 1 Knowledge/Understanding: up to 2 marks for - correctly constructing supply and demand curves and labelling axes with price and quantity (1) - showing original equilibrium price and quantity P_1 and Q_1 (1). Application: 1 mark for correctly interpreting the shift in supply to the RIGHT (more providers entering the SVOD market — Disney+, Apple TV+, Paramount+ etc.) Analysis: 1 mark for showing new equilibrium P_2 lower and Q_2 higher — more services, lower average price.	(4)

Question Number		Mark
	<i>Accept alternative interpretation where demand is argued to shift (e.g. pandemic-era boost) provided reasoning is coherent and shifts are labelled.</i>	

Question Number		Mark
1 (d)	Knowledge/Understanding 2, Application 2, Analysis 2 Knowledge/Understanding: up to 2 marks for • Identification of market structure — Oligopoly (1) • Identification of a valid pricing strategy (1), e.g. price leadership, limit pricing, penetration pricing Application: up to 2 marks for • Netflix, Amazon Prime Video and Disney+ hold 80.5% of UK subscribers combined (1) • The remaining services share only 19.5%, indicating high concentration (1) Analysis: up to 2 marks for • Oligopolies tend toward price rigidity due to interdependence — if one firm raises prices rivals may not follow, so the firm loses subscribers (1) • Non-price competition (original content, user experience) replaces aggressive price competition — Netflix's 2023 price rise was matched over time by Disney+ and Amazon, supporting a tacit parallel pricing pattern (1)	(6)

Question Number		Mark
1 (e)	Knowledge/Understanding 2, Application 2, Analysis 2, Evaluation 2 Indicative content Candidates do not need to include all of these: • Profit maximisation ($MC=MR$) provides maximum short-run return to owners and funds reinvestment in content — important for MUBI's 4% margin. • For a small firm competing against Netflix/Disney+, profit may be essential to survival, funding marketing and content acquisition. • However, MUBI's explicit strategy emphasises curation over scale — it is a differentiated product in monopolistic competition, so quality signals may matter more than short-run profit. • Revenue maximisation or subscriber growth may be preferred — growing the base enables content bargaining power and future monetisation. • Social/ethical objectives — supporting independent cinema is a cultural mission, implying a stakeholder rather than shareholder	(8)

Question Number		Mark
	focus. • Satisficing may be more realistic — achieving acceptable profit while pursuing artistic and curatorial goals. • Brand building/differentiation is the primary objective — MUBI's niche position depends on distinctive curation. • Long-term profit through reputation may be more important than short-run profit maximisation — the brand must remain credible to cinephiles. • Survival may dominate in the short term given competition from services with orders-of-magnitude larger content budgets.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6–8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (f)	Knowledge/Understanding 2, Application 2, Analysis 3, Evaluation 3 Indicative content • Netflix's standard plan rose from £8.99 in 2019 to £11.99 in 2024 — a 33.37% increase — shifting consumer budget constraint. • In a rising cost-of-living environment, consumers are more price sensitive — demand may become more elastic, leading to cancellations ('churn'). • Brand loyalty and switching costs (watchlists, family profiles) create stickiness — Netflix can raise prices without proportional loss of subscribers. • Netflix introduced an ad-supported tier to retain price-sensitive consumers while monetising through advertising — a form of price discrimination. • Competitor actions matter — if Disney+ and Prime Video also raise prices, consumers have fewer cheap alternatives, blunting switching. • 'Subscription stacking' is fragile — a 33% rise may push some households to churn (cancel temporarily) or drop to ad-supported tiers. • Revenue impact depends on PED. If demand is inelastic, revenue rises; if elastic, revenue falls — Netflix's own data suggests demand	(10)

Question Number		Mark
	has been relatively inelastic. • In the long run, elasticity increases as consumers adjust — repeated price rises risk eroding perceived value. • Evaluation — effect varies by segment: students and low-income households are more elastic; heavy users are less elastic. • Pricing power also depends on the content slate — strong releases in the year of a price rise mitigate churn.	
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–4	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	5–7	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	8–10	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (g)	Knowledge/Understanding 2, Application 2, Analysis 4, Evaluation 4 Indicative content • Non-price competition is central to the SVOD market — content, UI, recommendation algorithms, and exclusive franchises differentiate services. • Original content is the most visible form — Netflix's 'Stranger Things', Disney's Marvel/Star Wars, Amazon's 'The Boys' drive subscriber acquisition. • Brand positioning — Disney+ markets to families; Netflix emphasises volume; MUBI emphasises curation. • User experience (app design, profiles, offline downloads, 4K quality) is a non-price differentiator. • Distribution deals — Amazon Prime Video is bundled with Prime shipping, raising effective subscriber numbers. • Advertising — Netflix spent over £1bn on marketing globally in 2023. • Evaluation: non-price competition is very important but requires vast	(12)

Question Number		Mark
	budgets — this creates a barrier to entry for smaller rivals. • Content exclusivity has costs — the 'streaming wars' have eroded profit margins industry-wide as every major player overspends on production. • For smaller operators (MUBI, BritBox) non-price differentiation through curation and niche focus is essential to survival. • Price still matters — the ad-supported tier launched by Netflix was a clear competitive response to price-sensitive consumers. • Evaluation — segments vary: premium scripted drama is dominated by non-price factors; sports streaming is more price-sensitive. • Overall, non-price competition dominates SVOD strategy, but price will re-emerge as consumer budgets tighten.	

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Question Number		Mark
1 (h)	Knowledge/Understanding 2, Application 2, Analysis 4, Evaluation 4 Indicative content • Oligopoly features: few large firms (Netflix, Amazon, Disney+ — 80.5% of UK subscribers); high barriers to entry (content investment, scale economies, platform effects); interdependent pricing (Extract D shows matched-pattern Netflix rises); significant non-price competition. • Monopolistic competition features: many firms (the extract lists at least nine UK services); product differentiation (genre, curation, UI, content catalogue); relatively free entry of niche operators (MUBI, Shudder); each firm has limited pricing power over its own differentiated product.	(12)

Question Number		Mark
	- Concentration ratios support oligopoly — the three-firm concentration ratio (CR3) is 80.5%. - However, a long tail of smaller specialist services suggests fragmentation consistent with monopolistic competition. - Barriers to entry are high for generalist services (content catalogue, brand) but lower for niche services (MUBI grew 18% YoY), suggesting different structures at different market tiers. - Evidence of oligopolistic behaviour — parallel pricing in Extract D (Netflix, Disney+ and Amazon all raised prices in 2023). - Evidence of monopolistic competition — significant entry and growth of niche services; differentiation is pervasive rather than zero. - Evaluation — the UK SVOD market is best viewed as a segmented market: generalist tier is oligopolistic; niche tier is monopolistically competitive. - Regulatory threats (DMA, CMA action) could reduce entrenched platform advantages, making the structure more competitive over time. - Technology-enabled entry (low-cost streaming infrastructure) reduces fixed costs, supporting a monopolistically-competitive characterisation. - Overall: the UK SVOD market exhibits elements of both — oligopoly at the generalist level, monopolistic competition at the niche level — reflecting a market with significant but not insurmountable barriers.	

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	0	A completely inaccurate response.
Level 1	1–2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3–5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6–9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, well developed with arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10–12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Section B

Question Number			Mark
2	Knowledge/Understanding 4, Application 4, Analysis 6, Evaluation 6 Indicative content - Higher interest rates are the primary transmission mechanism of monetary policy — raising the cost of borrowing reduces AD through consumption (C) and investment (I). - Mortgage holders refinancing at 6% face sharp increases (£200–£400/month), reducing discretionary spending — a direct negative effect on aggregate demand. - Higher rates cool the housing market — house prices fell 1.2% in 2023; housebuilding starts fell — reducing the wealth effect and construction employment. - Consumer spending on non-essentials falls — retailers reporting trading down; streaming services reporting higher churn; hospitality volumes falling. This slows GDP growth. - Sterling may appreciate — higher rates attract foreign capital inflows, reducing import prices and inflation but damaging exporter competitiveness. - Impact on inflation: the goal of the tightening cycle; inflation peaked at 11.1% and has subsequently fallen, suggesting the policy is working. However, the lag is long (12–24 months). - Winners: savers, pensioners (higher deposit income); banks (wider net interest margins). - Losers: mortgage holders; first-time buyers (unaffordability); leveraged firms; the construction sector. - Distributional effects — young households (more likely to be mortgaged) lose; older asset-rich households gain. This may worsen intergenerational inequality. - Business investment falls — higher hurdle rates reduce capital expenditure. This harms long-run productive potential. - Government debt servicing costs rise — the UK's interest burden has increased significantly, constraining fiscal space. - Evaluation — monetary policy operates with long and variable lags; the full effect of 2022–23 tightening may not yet be visible. - Evaluation — external factors (energy prices, global supply chains) contributed to UK inflation; monetary policy cannot address supply shocks directly and may over-tighten. - Evaluation — impact depends on how quickly inflation falls to target; if successful, real incomes recover and activity rebounds. - Overall, the rapid rise in interest rates has been effective in cooling demand-led inflation but has imposed real short-run costs on mortgage holders, housebuilders and discretionary sectors.		(20)
Level	Mark	Descriptor	
	0	A completely inaccurate response.	
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.	
Level 2	5–9	Elements of knowledge and understanding, using limited relevant	

Question Number		Mark
		evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16–20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses: Where questions specifically stipulate the use of data or information provided in a stimulus, students must directly reference, interpret or analyse the information provided in the stimulus and may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Section C

Question Number			Mark
3	Knowledge/Understanding 4, Application 4, Analysis 6, Evaluation 6 Indicative content - DMA and UK DMCC Act aim to address market failures from gatekeeper platforms — self-preferencing, bundling, and exclusionary conduct reduce allocative efficiency. - Smaller streamers (MUBI, BritBox) may benefit — reduced app-store fees (typically 30%) improve their margins and increase consumer price choice. - Price-transparency and easier cancellation rules reduce consumer 'inertia pricing' — correcting information asymmetry and improving consumer welfare. - Content minimums (if imposed) support UK production, preserving cultural capital and regional jobs — a positive externality. - Competition effects — interoperability and non-discrimination could lead to lower prices and greater choice in the long run. - However, regulation imposes compliance costs — smaller firms may find regulatory burdens disproportionately expensive, offsetting some benefits. - Content minimums could deter investment — global streamers may reduce UK-specific content if quotas bind, harming the industry the rule is meant to protect. - Price-transparency rules could reduce revenue for streamers by eliminating passive subscribers — a redistribution from firms to consumers. - Regulatory uncertainty may deter new entrants or delay UK investment decisions — a negative effect on innovation. - Government failure risks — rules may be poorly designed, enforcement may lag market innovation, and lobbying may skew outcomes. - International considerations — divergence from EU rules creates compliance complexity; alignment reduces this but limits UK flexibility. - Distributional impact — consumers benefit from transparency; platforms lose; UK producers may benefit from content minimums. - Evaluation — effectiveness depends on enforcement capacity of the CMA and Ofcom; new regulators may struggle to keep pace with rapidly-innovating platforms. - Evaluation — market is still evolving; premature or heavy regulation could entrench incumbents if compliance costs favour established players. - Overall, targeted regulation of specific market failures (gatekeeping, consumer inertia) is likely to produce net welfare gains if implemented carefully; broad content or pricing rules carry greater risk of government failure.		(20)
Level	Mark	Descriptor	
	0	A completely inaccurate response.	
Level 1	1–4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.	

Question Number			Mark
Level 2	5–9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.	
Level 3	10–15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and competing arguments are present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.	
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